



Investment Grade Credit Analysis Paramount

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Table of Contents

Paramount Business Overview

Paramount Business Model and Revenue Drivers	3
Industry Structure and Competitive Position	3
Cyclicality and Secular Risks	4
Investment Thesis Summary	4

Paramount Financial Performance and Analysis

Historic Margins and Projections	5
Leverage and Coverage	7
Predicted Cash Flow & Financial Flexibility	8
Liquidity and Refinancing Risk	8
Capital Structure & Covenants	8
Key Risk, Rating Sensitivities, and Downside	9

Investment Thesis and Recommendation	10
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Paramount Business Overview

Business Description

Paramount Global (NASDAQ: PSKY) is a diversified global media and entertainment company. The company operates across three segments: TV Media, Direct to Consumer, and Filmed Entertainment. At its core, they produce and distribute content. Paramount's portfolio includes national and international brands spanning across news, sports, advertising, film production, and film licensing.

Their revenue is driven primarily by affiliate fees, advertising, subscription, and content licensing. Within TV Media, affiliate fees have historically represented high margin recurring cash flows, while advertising revenue remains cyclical and heavily correlated to audience engagement and macroeconomic conditions driven by global sport events and presidential elections. In direct to consumer, revenue is driven by subscription growth along with streaming-based advertising. Filmed entertainment revenue is inherently more volatile than the other segments, as performance depends on the timing and success of film releases as well as subsequent licensing revenue.

Industry Structure and Competitive Position

Paramount operates in a capital-intensive industry characterized by high production costs, aggressive bidding for intellectual property, along with rapidly evolving distribution models. The industry is undergoing transformation from bundled linear television towards direct-to-consumer streaming. Despite their deep content library, it lacks the scale and balance sheet strength of larger competitors, limiting its ability to compete aggressively.

Unlike its competitors with a global subscriber base and stronger free cash flows, Paramount remains reliant on its TV Media cash flows to support its streaming transition. This creates a mismatch between declining high-margin revenues and growing lower-margin investment needs.

Cyclicity and Secular Risks

A big portion of Paramount's advertising revenue is economically sensitive within TV Media and streaming. Advertising demand typically declines during economic slowdowns. To add on, film production can vary significantly year to year depending on consumer sentiment, release timing (Summer or Christmas), and box office conditions. These factors introduce short term earnings volatility, which may weaken interest coverage during downturns.

The secular risks are faced by the Paramount's affiliate business. Ongoing cord-cutting trends have resulted in persistent subscriber declines across cable and satellite TV. While price increases partially offset volume losses, the long-term trajectory of linear television remains challenged. At the same time, the transition toward streaming introduces a lower margin and a much more competitive business landscape, with higher content investment and uncertain long-term profitability.

Unlike cyclical advertising, secular affiliate decay represents a shift in revenue and margins. This dynamic limits EBITDA stability and constrains the company's ability to meaningfully deleverage over time. As a result, secular risks pose a more persistent challenge to long-term credit quality than cyclical volatility.

Investment Thesis Summary

AVOID Paramount's Global 4.95% Senior Notes Due 2031. While Paramount maintains scale, recognized brands, and adequate near-term liquidity, forward projections indicate increasing leverage and weakening interest coverage. Debt/EBITDA trends toward elevated levels over the forecasted period, and EBITDA/Interest declines toward below 1.0x by 2029. These metrics are more consistent with high-yield credit profiles than the company's current Baa3/BB+/BBB- ratings.

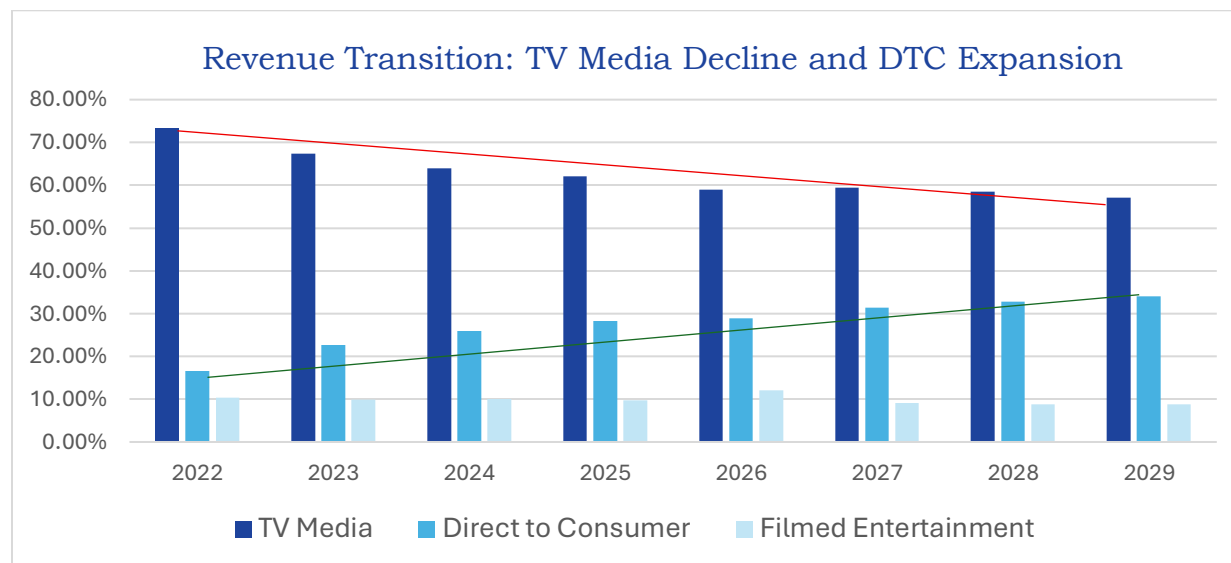
The company faces headwinds in its legacy TV affiliate business as cord-cutting continues. Although direct-to-consumer streaming partially offsets these declines, for Paramount streaming carries lower margins and requires sustained content investment. As the revenue segment shifts, overall earnings durability weakens, thus limiting Paramount's ability to meaningfully deleverage through organic cash flow generation.

Although the 2031 maturity reduces duration risk relative to longer-dated bonds, investors remain exposed to downgrade risk over the next several years. If credit metrics continue to deteriorate, spread widening could offset the coupon carry. Upside appears limited, while downside risk under a downgrade scenario is realistic and impactful.

Based on the analysis presented, the risk-adjusted return profile of the Paramount Global 4.95% Senior Notes due 2031 is unattractive within an investment-grade portfolio. Capital can be allocated more efficiently to higher-quality issuers offering similar yields with stronger balance sheets, more stable earnings, and lower downgrade risk.

Paramount Financial Performance and Analysis

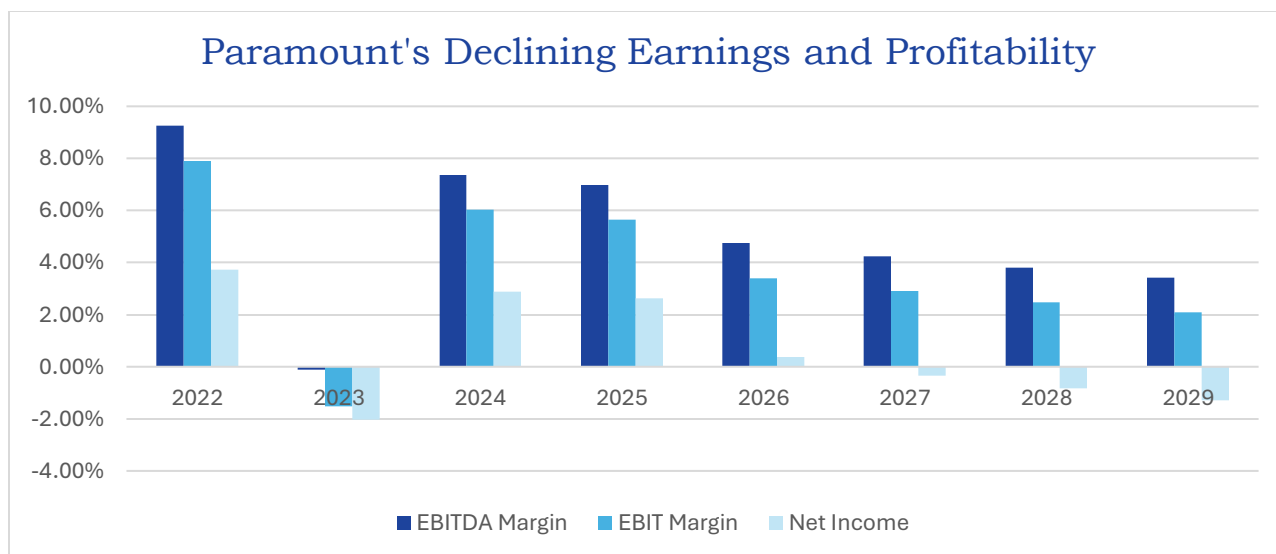
Historic Margins and Projections



Source: Owen Purnomo, Paramount Credit Analysis Model (Excel), 2026.

Paramount's financial performance over the 2022 to 2029 period reflects weakening in earnings driven by revenue segment shift and margin pressures. It is projected that total revenue declines from \$29.7 billion in 2022 to about \$27.0 billion by 2029. TV Media revenue declines steadily from \$21.7 billion in 2022 to \$15.2 billion by 2029, representing a decline of 29%. As a percentage of total revenue, TV Media falls from 73.2% to 56.8%. However, even this projected decline may prove to be conservative. Cord-cutting trends have persisted for more than a decade and show little evidence of slowing down. Given ongoing shifts in consumer behavior and rising streaming penetration the risk of accelerated affiliate subscriber losses over the upcoming years is very high. TV Media revenue could deteriorate more rapidly than currently modeled if cord-cutting continues to outpace current variables.

On the other hand, direct-to-consumer revenue expands from \$4.9 billion to \$9.2 billion over the same period, increasing its segment contribution from 16.5% to 34.2%. While this growth offsets decline in TV Media revenue, it reflects a transition away from historically high-margin affiliate revenue toward a lower-margin streaming model. Filmed Entertainment remains comparatively volatile and modest in contribution, declining slightly as a percentage of revenue. The key observation is that revenue durability is becoming more increasingly dependent on segments with inferior margin quality and inferior market shares.



Source: Owen Purnomo, Paramount Credit Analysis Model (Excel), 2026.

The impact of this revenue shift is evident in the margin trajectory. Adjusted EBITDA margin declines from 9.25% in 2022 to 3.31% by 2029, representing a decline of 600 basis points. EBIT margin declines from 7.89% to 1.98% over the same period, while net income margin turns negative beginning in 2027 and declines to -1.41% by 2029. Although 2023 reflects atypical year with negative EBITDA and EBIT margins due to company restructuring, margin decline persists even after partial normalization in 2024 and 2025. EBITDA margin declines from 7.36% in 2024 to 3.31% by 2029 despite growth in its streaming business.

Filmed Entertainment remains volatile and relatively small. Revenue fluctuates depending on film releases and licensing cycles, and EBIT margins stabilize around 2%. Traditional revenue sources such as cinema attendance and DVD sales continue to decline and are expected to further weaken in the coming years as consumer behavior shifts toward streaming.

From a credit perspective, the key issue is long-term earnings durability. Revenue may decline, and EBITDA goes down significantly. If this trend continues, leverage ratios will worsen and interest coverage will worsen. These financial trends directly affect Senior Notes due 2031, since investors are exposed to earnings risk over time. Even if near-term liquidity remains manageable, declining profitability and limited deleveraging capacity increase downgrade risk. Resulting in an unattractive investment.

Leverage and Coverage

Credit Metrics	2024	2025	2026	2027	2028	2029
EBIT/Interest	2.06	1.88	1.13	0.90	0.75	0.59
EBITDA/Interest	2.51	2.32	1.57	1.32	1.16	0.98
(EBITDA - CAPEX)/Interest	2.21	2.06	1.31	1.05	0.89	0.72
Gross Debt/EBITDAR	5.82	6.66	9.34	10.77	11.38	13.13
NET Debt/EBITDAR	6.81	7.77	10.94	12.69	13.55	15.72
FCF/ Debt	0.06	0.05	0.02	0.01	0.0045	-0.004

Source: Owen Purnomo, Paramount Credit Analysis Model (Excel), 2026.

Paramount's projected credit metrics reflects a decay over the years and increasingly resemble high yield rather than investment grade. Gross debt/EBITDAR increases from 5.82x in 2024 to 13.13x by 2029. Net debt/EBITDAR rises from 6.81x to 15.72x over the same period. This scaled multiple is not driven by aggressive debt issuance but by revenue downturn resulting in EBITDA decline.

Compared to Moody's ratings, investment grade companies in the Baa3 rating usually maintain Debt/EBITDA between 2.5x and 3.0x. Even Ba rated generally average around 3.7x. Paramount's projected leverage rises above 6x by 2025 and exceeds 10x by 2027. These levels are much higher than what is typical for investment grade credit.

By 2029, leverage rises above levels standard for B rated credits. Unless earnings improves or debt is reduced, the company's capital structure does not support long-term investment grade status. Interest coverage also weakens over time. EBIT/Interest declines from 2.06x in 2024 to 0.59x by 2029. EBITDA/Interest falls from 2.51x to 0.98x. By 2029, EBITDA barely covers interest expense.

This is highly concerning, because it suggests the company may struggle to comfortably meet its interest obligations if operating performance continues to deteriorate. These levels are more consistent with high yield or even borderline distressed credits. Free cash flow also weakens over the years. FCF/Debt declines from 0.06x in 2024 to 2025 to -0.004x by 2029. This demonstrates how Paramount's ability to reduce debt organically is very limited. Investment grade companies usually maintain stronger free cash flow relative to debt to cover its liabilities.

Predicted Cash Flow & Financial Flexibility

Paramount's projected cash flow is shaped by operating changes across the business. While total revenue appears relatively stable in the short term, earnings quality weakens over time.

TV Media remains the largest contributor but continues to decline. Advertising revenue is pressured by audience erosion as cord-cutting reduces viewership. CPM pricing growth of roughly 2% provides partial offset, but it does not fully compensate for subscriber losses. It is under the assumption that as cord cutting continues, Paramount will have little to no leverage to competitively price their affiliate fees. Political advertising cycles and major sports events provide temporary boosts, yet these are cyclical drivers. Moreover, in the coming years we can see that sports and political advertising to be moving to social media, thus increasing the risk of accelerating cord cutting and little to no pricing power for Paramount. As a result, segment revenue and EBIT trend lower, reducing the durability of cash flow from the legacy business.

Paramount+ continues to grow subscribers, supported by popular franchises from creators like Taylor Sheridan, including *Yellowstone* and related spinoffs. However, streaming remains highly competitive, limiting subscriber growth to low single digit. Paramount+ currently 8% market share in the US, it is under the assumption that their net adds in subscriber to be par to industry average of 2% growth. Over the forecasted period ARPU stabilizes and margins improve modestly, but profitability remains lower than TV. While streaming offsets some TV media declines, it does not generate enough earnings to strengthen free cash flow.

Filmed Entertainment remains volatile and dependent on release timing. In 2026, the forecast assumes 11 film releases based on available YouTube trailers, including potential prequels or franchise extensions that could create blockbuster revenue boost. However, film releases are unpredictable, and physical cinema attendance and DVD sales continue to decrease. Licensing revenue provides some stability, but overall margins remain conservative.

Liquidity and Refinancing Risk

Paramount's short-term liquidity appears manageable, but refinancing risk increases over time. Currently, they continue to generate positive EBITDA and maintain access to capital markets, reducing default risk. However, declining profitability and weakening credit metrics reduce financial flexibility. Knowing that Paramount limited cash on hand to cover the \$3.33 billion of notes due before 2031, the company will need to refinance a meaningful portion of these maturities. Given the nature of the 2031 bond, investors are exposed to the risk that future refinancing may occur at higher interest rates. If earnings continue to fall or if Paramount is downgraded further into high-yield, refinancing costs could increase. Higher spreads would pressure interest coverage. While short-term

liquidity is not an immediate concern, the combination of declining earnings and limited ability to deleverage is worrying.

Capital Structure & Covenants

Paramount's capital structure consists of senior unsecured notes, junior subordinated debentures, and a \$3.5 billion revolving credit facility. Most of the company's debt is unsecured, meaning bondholders do not have specific assets pledged as collateral. Since a lot of Paramount's value comes from content and future earnings rather than real assets, recovery in a downside scenario could be uncertain.

The revolving credit facility contains one main financial covenant. It requires the company to maintain a maximum consolidated total leverage ratio each quarter. This ratio was set at 5.5x at the end of 2024 and will gradually step down to 4.5x by March 2026. The facility also includes a change-of-control provision that allows lenders to demand repayment if ownership changes. The junior subordinated debentures include a ratings downgrade provision tied to change of control. If all three major rating agencies downgrade the company after a change of control, Paramount must either redeem the debentures at 101% of principal or increase the interest rate by 5%. (Source: 10K II-71)

Importantly, there are no broad maintenance covenants across the bond structure. The bonds do not require the company to maintain specific leverage or interest coverage levels. Instead, protections are limited mainly to change-of-control provisions. This structure gives management flexibility, but it provides limited protection to bondholders if operating performance continues to weaken. Given the projected rise in leverage and decline in coverage, the current capital structure offers limited downside protection. If earnings do not improve or debt is not reduced, credit risk could increase without strong covenant protection to hedge against financial loss.

Key Risk, Rating Sensitivities, and Downside

Paramount's main risk is continued eroding earnings. TV Media revenue is declining, and cord-cutting could accelerate. Based on the projections, credit metrics drift away from investment grade standards, thus creating downgrade risk. The broader media industry also faces drastic changes and operational risks. Labor disruptions, such as writers' or actors' strikes can delay production, increase costs, and reduce content pipelines. In addition, AI is beginning to disrupt content creation and distribution, while it may lower production costs over time, it also increases competition and could reduce the value of traditional studio content. If barriers to create content creation fall, pricing power will fall. Additionally, spending may shift toward live entertainment, travel, and gaming. If audience engagement continues to fragment, revenue stability may never recover. Overall, the key sensitivity is earnings durability. If profits do not stabilize, leverage will remain elevated and refinancing will be unavoidable triggering a downgrade.

Investment Thesis and Recommendation

Paramoung Global 4.95% Due 2031		CUSIP: 92556HAB3		Ratings: Baa3/BB+/BBB-
Coupon	4.950%	Today	2/20/26	Current Spread & Duration:
Current Price	\$95.85	Maturity:	1/15/31	
10 Year T-Yield:	4.087%	Current Yield:	5.933%	
				185
				4.40
Scenario	Spreads	Price	Coupon	1Y Total Returns
Upside	150	\$97.30	\$4.950	6.67%
Base	185	\$95.87	\$4.950	5.18%
Downside	350	\$89.36	\$4.950	-1.60%
Downside^2	700	\$77.25	\$4.950	-14.24%

Source: Owen Purnomo, Paramount Credit Analysis Model (Excel), 2026.

The Paramount Global 4.95% Senior Notes due January 15, 2031 (CUSIP: 92556HAB3) are senior unsecured obligations. The bond carries a 4.95% coupon and currently trades at \$95.85, implying a yield of 5.93% and a spread of roughly 185 basis points over the 10-year US Treasury. While Moody's and Fitch maintain investment-grade ratings Baa3 and BBB-, S&P has already downgraded the issuer to BB+, reflecting credit risk and increasing downgrade pressure.

At current levels, the bond offers a 5.18% carry if spreads remain stable. Scenario analysis indicates that modest tightening to 150 bps would generate a return of 6.67%, driven primarily by coupon income. In contrast, a widening to 350 bps which consistent with a downgrade into BB territory would result in a total return of -1.60%, as price decline largely offsets the coupon carry.

Under a more severe scenario in which spreads widen toward 700 bps, consistent with high-yield pricing, the bond could drastically go down, producing a total return of -14.24%. This shows that while coupon income can offset small spread widening, a larger downgrade would create much bigger downside than the potential upside.

In my view, the current spread of around 185 bps is likely close to the best level this bond will ever trade at. Given Paramount's ongoing revenue decline, pressure on margins, and high leverage, it is difficult to see meaningful spread tightening from here. At the same time, a downgrade further into high-yield territory is a realistic risk. This means the downside is more likely than the upside. The potential losses in a downgrade scenario are much larger than the gains if spreads tighten slightly, making the risk to reward of this bond a bad investment.

Paramount is fighting to defend its investment-grade status. Management has expressed commitment to maintaining balance sheet discipline and protecting its rating. However, credit markets do not operate on promises, they operate on numbers.

An investment-grade rating should reflect stability, resilience, and a margin of safety. Paramount does not hold up to those standard rather it reflects transition, volatility, and a rating downgrade. For these reasons, I recommend **AVOID** on the Paramount Global 4.95% Senior Notes due 2031. When credit metrics move closer to high yield rather than to investment grade, the rating matters less than the underlying risk. Capital is better deployed in issuers with stronger earnings durability, lower leverage, and clearer paths to balance sheet improvement. When credit metrics weaken, conviction must strengthen. In this case, conviction means not owning the bond.

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